

Sub-Section Number : 14
Sub-Section Id : 640653134170
Question Shuffling Allowed : Yes

Question Number : 377 Question Id : 640653904441 Question Type : SA Calculator : None
Correct Marks : 2

Question Label : Short Answer Question
What is the full form of SAAS?

NOTE:Enter the exact answer without any space in the beginning or at the end.

Response Type : Alphanumeric
Evaluation Required For SA : Yes
Show Word Count : Yes

Answers Type : Equal
Answers Case Sensitive : No
Text Areas : PlainText

Possible Answers :
Software as a service

Financial Forensics

Section Id : 64065364142
Section Number : 14
Section type : Online
Mandatory or Optional : Mandatory
Number of Questions : 41
Number of Questions to be attempted : 41
Section Marks : 40
Display Number Panel : Yes
Section Negative Marks : 0
Group All Questions : No
Enable Mark as Answered Mark for Review and Clear Response : No
Maximum Instruction Time : 0
Sub-Section Number : 1
Sub-Section Id : 640653134171
Question Shuffling Allowed : No

Question Number : 378 Question Id : 640653904442 Question Type : MCQ Calculator : Yes
Correct Marks : 0

Question Label : Multiple Choice Question

**THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : FINANCIAL FORENSICS
(COMPUTER BASED EXAM)"**

**ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?
CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.**

**(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS
REGISTERED BY YOU)**

Options :

6406533045365. ✓ YES

6406533045366. ✗ NO

Sub-Section Number :

2

Sub-Section Id :

640653134172

Question Shuffling Allowed :

Yes

Question Number : 379 Question Id : 640653904443 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

If a model predicts the positive class for all observations in a binary classification problem with both positive and negative cases present, which of the following statements is true?

Options :

6406533045367. ✓ Recall is 100%, but Precision is not necessarily 100%.

6406533045368. ✗ Precision is 100%, but Recall is not necessarily 100%.

6406533045369. ✗ Both Recall and Precision are 100%.

6406533045370. ✗ Neither Recall nor Precision are 100%.

6406533045371. ✗ None of these

Question Number : 380 Question Id : 640653904444 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

What is the KS of the below gains table?

Rank	Min	Max	Total Volume	Bads Volume	Goods Volume	KS
1	126	152	1909	0	1909	0.0000
2	152	158	1909	0	1909	0.0501
3	158	162	1909	0	1909	0.1002
4	162	167	1909	1	1908	0.1502
5	167	171	1909	0	1909	0.1836
6	171	175	1909	0	1909	0.2337
7	175	180	1909	0	1909	0.2838
8	180	185	1909	0	1909	0.3339
9	185	191	1909	1	1908	0.3839
10	191	198	1909	1	1908	0.4173
11	198	207	1909	0	1909	0.4507
12	207	217	1909	1	1908	0.5008
13	217	229	1909	0	1909	0.5342
14	229	243	1909	1	1908	0.5843
15	243	257	1909	2	1907	0.6176
16	257	274	1909	3	1906	0.6343
17	274	295	1909	1	1908	0.6343
18	295	327	1909	8	1901	0.6677
19	327	383	1909	12	1897	0.5843
20	383	696	1909	29	1880	0.4340

Options :

6406533045372. ✓ 66.77

6406533045373. ✖ 43.40

6406533045374. ✖ 41.73

6406533045375. ✖ 38.89

6406533045376. ✖ Data Insufficient

Question Number : 381 Question Id : 640653904445 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

What is the Capture Rate of Bads at top 10%?

Rank	Min	Max	Total Volume	Bads Volume	Goods Volume	KS
1	126	152	1909	0	1909	0.0000
2	152	158	1909	0	1909	0.0501
3	158	162	1909	0	1909	0.1002
4	162	167	1909	1	1908	0.1502
5	167	171	1909	0	1909	0.1836
6	171	175	1909	0	1909	0.2337
7	175	180	1909	0	1909	0.2838
8	180	185	1909	0	1909	0.3339
9	185	191	1909	1	1908	0.3839
10	191	198	1909	1	1908	0.4173
11	198	207	1909	0	1909	0.4507
12	207	217	1909	1	1908	0.5008
13	217	229	1909	0	1909	0.5342
14	229	243	1909	1	1908	0.5843
15	243	257	1909	2	1907	0.6176
16	257	274	1909	3	1906	0.6343
17	274	295	1909	1	1908	0.6343
18	295	327	1909	8	1901	0.6677
19	327	383	1909	12	1897	0.5843
20	383	696	1909	29	1880	0.4340

Options :

6406533045377. ✖ 100%

6406533045378. ✔ 68.33%

6406533045379. ✖ 0%

6406533045380. ✖ 48.33%

6406533045381. ✖ Data Insufficient

Question Number : 382 Question Id : 640653904446 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

What is the Capture Rate of applications having score greater than 270?

Rank	Min	Max	Total Volume	Bads Volume	Goods Volume	KS
1	126	152	1909	0	1909	0.0000
2	152	158	1909	0	1909	0.0501
3	158	162	1909	0	1909	0.1002
4	162	167	1909	1	1908	0.1502
5	167	171	1909	0	1909	0.1836
6	171	175	1909	0	1909	0.2337
7	175	180	1909	0	1909	0.2838
8	180	185	1909	0	1909	0.3339
9	185	191	1909	1	1908	0.3839
10	191	198	1909	1	1908	0.4173
11	198	207	1909	0	1909	0.4507
12	207	217	1909	1	1908	0.5008
13	217	229	1909	0	1909	0.5342
14	229	243	1909	1	1908	0.5843
15	243	257	1909	2	1907	0.6176
16	257	274	1909	3	1906	0.6343
17	274	295	1909	1	1908	0.6343
18	295	327	1909	8	1901	0.6677
19	327	383	1909	12	1897	0.5843
20	383	696	1909	29	1880	0.4340

Options :

6406533045382. ✖ 100%

6406533045383. ✖ 68.33%

6406533045384. ✖ 0%

6406533045385. ✖ 48.33%

6406533045386. ✔ Data Insufficient

Question Number : 383 Question Id : 640653904449 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

The Bankruptcy Bank, one of the major lending banks, has hired you to build a credit underwriting model to help their automated lending decisions. Their definition of default is 60-89 DPD. There is historical loans data since January 1, 2021 till 31, July 2024. Which of the following is true – as of July 31, 2024?

Options :

6406533045389. ✖ Jan'21 – Jul'24 is used for performance data

6406533045390. ✖ Apr'24 – Jul'24 is used for observation data

6406533045391. ✖ May'24 – Jul'24 is used for performance data

6406533045392. ✖ Jan'21 – Jan'24 is used for observation data

6406533045393. ✔ Jan'21 – Apr'24 is used for observation data

Question Number : 384 Question Id : 640653904450 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Rollrate analysis is used to determine which of the following?

Options :

6406533045394. ✖ Vintages to be used in the data

6406533045395. ✔ Target variable definition

6406533045396. ✖ Both Vintages to be used in the data and Target variable definition

6406533045397. ✖ Feature selection

6406533045398. ✖ None of these

Question Number : 385 Question Id : 640653904451 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following possibly happens after approving credit?

Options :

6406533045399. ✖ Underwriting

6406533045400. ✖ Reject Inferencing

6406533045401. ✔ Collections

6406533045402. ✖ Propensity

6406533045403. ✖ Fraud check

Question Number : 386 Question Id : 640653904452 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Stemming is faster than Lemmatization

Options :

6406533045404. ✔ TRUE

6406533045405. ✖ FALSE

Question Number : 387 Question Id : 640653904453 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following is not a text preprocessing technique?

Options :

6406533045406. ✔ Encoding

6406533045407. ✖ Stopword removal

6406533045408. ✖ Stemming

6406533045409. ✖ Lowercase conversion

6406533045410. ✖ None of these

Question Number : 388 Question Id : 640653904454 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Given the sentence:

"Customer sign-up rates have increased by 25% in the last quarter."

Output:

['customer', 'sign', 'up', 'rates', 'increased', '25', 'last', 'quarter']

Which of the following text preprocessing techniques was NOT applied to the sentence?

Options :

6406533045411. ✖ Lowercasing

6406533045412. ✖ Removing punctuation

6406533045413. ✖ Tokenization

6406533045414. ✔ Lemmatization

6406533045415. ✖ None of these

Question Number : 389 Question Id : 640653904455 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following statements is true about a credit risk model with high precision?

Options :

6406533045416. ✖ It correctly identifies a high percentage of non-risky customers out of all actual non-risky cases.

6406533045417. ✖ It correctly identifies a high percentage of non-risky customers out of all predicted non-risky cases.

6406533045418. ✖ It correctly identifies a high percentage of risky customers out of all actual risky cases.

6406533045419. ✔ It correctly identifies a high percentage of risky customers out of all predicted risky cases.

Question Number : 390 Question Id : 640653904456 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

If a credit risk model's recall is 0.7 and precision is 0.5, what can be inferred about its performance?

Options :

6406533045420. ✔ The model identifies 70% of all actual risky customers and 50% of its positive

predictions are correct.

6406533045421. ✖ The model identifies 50% of all actual risky customers and 70% of its positive predictions are correct.

6406533045422. ✖ The model has a high false positive rate and a low false negative rate.

6406533045423. ✖ The model has a low false positive rate and a high false negative rate.

Question Number : 391 Question Id : 640653904457 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

In reject inferencing, what is typically done with the rejected cases?

Options :

6406533045424. ✖ They are ignored entirely

6406533045425. ✖ They are manually reviewed for inclusion

6406533045426. ✔ They are inferred and included in the model

6406533045427. ✖ They are used to create a separate model

Question Number : 392 Question Id : 640653904458 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following can be a consequence of not using reject inferencing in models dealing with credit applications?

Options :

6406533045428. ✖ Increased model transparency

6406533045429. ✖ Improved model accuracy

6406533045430. ✔ Higher risk of rejecting potentially good applicants

6406533045431. ✖ Simplified model validation

Question Number : 393 Question Id : 640653904459 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

In a SHAP waterfall plot, what does the initial value represent?

Options :

6406533045432. ✖ The average prediction of the model

6406533045433. ✖ The model's output without any feature contributions

6406533045434. ✔ The model's prediction before adding any feature contributions

6406533045435. ✖ The overall importance of each feature

Question Number : 394 Question Id : 640653904460 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

How does SHAP facilitate global interpretability of a model?

Options :

- 6406533045436. ✖ By providing exact feature importance scores for individual predictions
- 6406533045437. ✔ By aggregating local SHAP values to estimate the global importance of each feature across all predictions
- 6406533045438. ✖ By displaying only the top features contributing to the model's predictions
- 6406533045439. ✖ By creating visualizations that show how features impact model accuracy

Question Number : 395 Question Id : 640653904463 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

If average total assets increase, but net income, net sales, and average stockholders' equity remain the same, what is the impact on the return on assets ratio?

Options :

- 6406533045442. ✖ Remains the same.
- 6406533045443. ✖ Increases.
- 6406533045444. ✔ Decreases.
- 6406533045445. ✖ Cannot be determined without additional information.

Question Number : 396 Question Id : 640653904464 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Info Systems Inc. has sales of ₹ 2,820, costs of goods sold of ₹ 2,160, inventory of ₹ 504, and accounts receivable of ₹ 430. How many days, on average, does it take Info Systems Inc. to sell its inventory?

Options :

- 6406533045446. ✔ 85.17 days
- 6406533045447. ✖ 65.23 days
- 6406533045448. ✖ 84.00 days
- 6406533045449. ✖ 55.66 days

Question Number : 397 Question Id : 640653904467 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

You have been awarded an insurance settlement of ₹ 250,000 that is payable one year from today. What is the minimum amount you should accept today in exchange for this settlement if you can earn 6.7 percent on your investments?

Options :

- 6406533045452. ✖ ₹ 232,866.67
- 6406533045453. ✔ ₹ 234,301.78
- 6406533045454. ✖ ₹ 242,408.19

6406533045455. ✖ ₹ 250,000.00

Question Number : 398 Question Id : 640653904469 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

An insurance settlement offer includes annual payments of ₹ 36,000, ₹ 42,000, and ₹ 50,000 over the next three years, respectively, with the first payment being made one year from today. What is the minimum amount you should accept today as a lump sum settlement if your discount rate is 7 percent?

Options :

6406533045457. ✔ ₹ 111,144.18

6406533045458. ✖ ₹ 105,000.10

6406533045459. ✖ ₹ 118,924.27

6406533045460. ✖ ₹ 114,556.88

Question Number : 399 Question Id : 640653904470 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Scott has been offered an employment contract for ten years at a starting salary of ₹ 65,000 with guaranteed annual raises of 5 percent. What is the current value of this offer at a discount rate of 7 percent?

Options :

6406533045461. ✖ ₹ 638,724.17

6406533045462. ✖ ₹ 602,409.91

6406533045463. ✔ ₹ 558,845.85

6406533045464. ✖ ₹ 630,500.00

Question Number : 400 Question Id : 640653904471 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Which statement concerning the net present value (NPV) of an investment or a financing project is correct?

Options :

6406533045465. ✖ A financing project should be accepted if, and only if, the NPV is exactly equal to zero.

6406533045466. ✖ An investment project should be accepted only if the NPV is equal to the initial cash flow.

6406533045467. ✔ Any type of project should be accepted if the NPV is positive and rejected if it is negative.

6406533045468. ✖ Any type of project with greater total cash inflows than total cash outflows, should always be accepted.

Question Number : 401 Question Id : 640653904472 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Wilson's Market is considering two mutually exclusive projects that will not be repeated. The required rate of return is 13.9 percent for Project A and 12.5 percent for Project B. Project A has an initial cost of ₹54,500, and should produce cash inflows of ₹16,400, ₹28,900, and ₹31,700 for Years 1 to 3, respectively. Project B has an initial cost of ₹69,400, and should produce cash inflows of ₹0, ₹48,300, and ₹42,100, for Years 1 to 3, respectively. Which project, or projects, if either, should be accepted and why?_____

Options :

6406533045469. ✓ Project A; because its NPV is positive while Project B's NPV is negative

6406533045470. ✗ Project A; because it has the higher required rate of return

6406533045471. ✗ Project B; because it has the largest total cash inflow

6406533045472. ✗ Neither project; because neither has an NPV equal to or greater than its initial cost

Question Number : 402 Question Id : 640653904475 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

It's always good to have the debt equity ratio of 1 to have a lower WACC:

Options :

6406533045475. ✗ TRUE

6406533045476. ✓ FALSE

Question Number : 403 Question Id : 640653904476 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following statements are true with respect to ACF and PACF plots

I. ACF plots are used to determining the order of Autoregressive models.

II. PACF plots are used to determining the order of Autoregressive models.

III. PACF plots just computes the Pearson's correlation between the variable and it's lagged versions.

IV. ACF plots just computes the Pearson's correlation between the variable and it's lagged versions.

Options :

6406533045477. ✗ I and III

6406533045478. ✓ II and IV

6406533045479. ✗ I and IV

6406533045480. ✗ II and III

Question Number : 404 Question Id : 640653904477 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

What does the term 'liquidity' refer to in the context of a Balance Sheet?

Options :

6406533045481. ✖ The amount of cash a company has on hand.

6406533045482. ✔ The company's ability to pay off its short-term obligations.

6406533045483. ✖ The total value of a company's assets.

6406533045484. ✖ The value of the company's long-term investments.

Question Number : 405 Question Id : 640653904478 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

A company has the following information:

- Total Assets: \$500,000
- Total Liabilities: \$300,000
- Retained Earnings: \$100,000

If the company issues additional common stock worth \$50,000, what will be the new Equity value?

Options :

6406533045485. ✖ \$100,000

6406533045486. ✖ \$150,000

6406533045487. ✖ \$200,000

6406533045488. ✔ \$250,000

Question Number : 406 Question Id : 640653904482 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following would NOT appear in the P&L statement?

Options :

6406533045491. ✖ Sales Revenue

6406533045492. ✖ Utilities Expense

6406533045493. ✔ Long-term Debt

6406533045494. ✖ Depreciation Expense

Question Number : 407 Question Id : 640653904483 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

ABC Bank has given INR 1,00,000 as an loan to it's customer at the rate of 8.5% p.a. in January 2023. At the end of the year the customer paid back 1,08,500 to the bank. While preparing the

cash flow statement for 2023 under which header will the bank account this cash inflow:

Options :

6406533045495. ✓ Cash flow from Operations

6406533045496. ✗ Cash flow from Finance

6406533045497. ✗ Cash flow from Investment

Sub-Section Number : 3

Sub-Section Id : 640653134173

Question Shuffling Allowed : Yes

Question Number : 408 Question Id : 640653904447 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

What is the Roll Back rate for 120-149 DPD after 18 MOB? (Express your answer as percentage)

After 12 MOB	After 18 MOB								
	Delinquency	No Due	0-29 DPD	30-59 DPD	60-89 DPD	90-119 DPD	120-149 DPD	150+ DPD	Total
	No Due	109994	8344	4994	3344	1694	1094	494	129958
	0-29 DPD	45494	6694	3344	1694	1694	844	494	60258
	30-59 DPD	19194	4994	3344	694	494	194	1194	30108
	60-89 DPD	5694	4994	1694	344	1694	1344	844	16608
	90-119 DPD	3344	844	494	194	694	3344	1694	10608
	120-149 DPD	494	194	194	144	144	844	1994	4008
	150+ DPD	94	64	49	39	9	4	3494	3753

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

28.69 to 29.74

Question Number : 409 Question Id : 640653904448 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

What is the Roll Forward rate for 60-89 DPD after 18 MOB? (Express your answer as percentage)

After 12 MOB	After 18 MOB								
	Delinquency	No Due	0-29 DPD	30-59 DPD	60-89 DPD	90-119 DPD	120-149 DPD	150+ DPD	Total
	No Due	109994	8344	4994	3344	1694	1094	494	129958
	0-29 DPD	45494	6694	3344	1694	1694	844	494	60258
	30-59 DPD	19194	4994	3344	694	494	194	1194	30108
	60-89 DPD	5694	4994	1694	344	1694	1344	844	16608
	90-119 DPD	3344	844	494	194	694	3344	1694	10608
	120-149 DPD	494	194	194	144	144	844	1994	4008
	150+ DPD	94	64	49	39	9	4	3494	3753

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

22.82 to 23.92

Question Number : 410 Question Id : 640653904461 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

XYZ Consulting paid dividends of ₹ 3,300 and total equity of ₹ 39,450. The debt-equity ratio is 1 and the retention ratio (the ratio of a company's retained income to its net income) is 40 percent. What is the return on assets expressed in percentage? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

6.94 to 7.00

Question Number : 411 Question Id : 640653904462 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

Anu's foods has net income of ₹ 39,900, net sales of ₹ 3,18,600, total assets of ₹ 6,63,000, common stock of ₹ 1,06,800 with a par value of ₹1 per share, and retained earnings of ₹ 2,24,400. The stock has a market value of ₹ 5.45 per share. What is the price-earnings ratio expressed in percentage?_____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

14.5 to 14.68

Question Number : 412 Question Id : 640653904465 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

ABC Inc. has net working capital of ₹ 580, net fixed assets of ₹ 2,326, sales of ₹ 6,900, and current

liabilities of ₹ 890. How many rupees worth of sales is generated from every ₹ 1 in total assets?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

1.8 to 1.84

Question Number : 413 Question Id : 640653904466 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

A firm has a return on equity of 25 percent. The total asset turnover is 2.4 and the profit margin is 8 percent. The total equity is ₹ 4,100. What is the net income? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

1025

Question Number : 414 Question Id : 640653904468 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

Sully will receive a perpetuity of ₹ 40,000 per year forever, while Jake will receive 4,00,000 annual payment for the next 2 years. If the interest rate is 6.5 percent, how much more are Sully's payments worth? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

112860 to 112870

Question Number : 415 Question Id : 640653904473 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

The risk-free rate of return is 3.6 percent and the market risk premium is 7.84 percent. What is the

expected rate of return on a stock with a beta of 1.3?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

13.74 to 13.84

Question Number : 416 Question Id : 640653904474 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

Suppose the risk free rate in the market is 5%, the expected market return is 7% and the beta of the stock is 1.4, at what rate the expected return of a stock changes with respect to the market premium?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

1.4

Question Number : 417 Question Id : 640653904484 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

Holmes, Inc., is a 90% equity and 10% debt financed firm. The unlevered beta is 0.60, the market risk premium is 6.67 percent, and the risk-free rate is 3.30 percent. What is the expected rate of return on this stock? Consider the tax rate as 30%. Express your answer as a decimal.

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

0.07 to 0.08

Sub-Section Number :

4

Sub-Section Id :

640653134174

Question Shuffling Allowed :

No

Question Id : 640653904479 Question Type : COMPREHENSION Sub Question Shuffling

Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Calculator : None

Question Numbers : (418 to 419)

Question Label : Comprehension

A company has the following financials:

- Revenue: \$750,000
- Cost of Goods Sold (COGS): \$450,000
- Operating Expenses: \$150,000
- Depreciation: \$25,000
- Interest: \$15,000
- Tax Rate: 35%

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 418 Question Id : 640653904480 Question Type : SA Calculator : None

Correct Marks : 0.5

Question Label : Short Answer Question

Compute the EBITDA

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

150000

Question Number : 419 Question Id : 640653904481 Question Type : SA Calculator : None

Correct Marks : 0.5

Question Label : Short Answer Question

Compute the Net Profit

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

71500